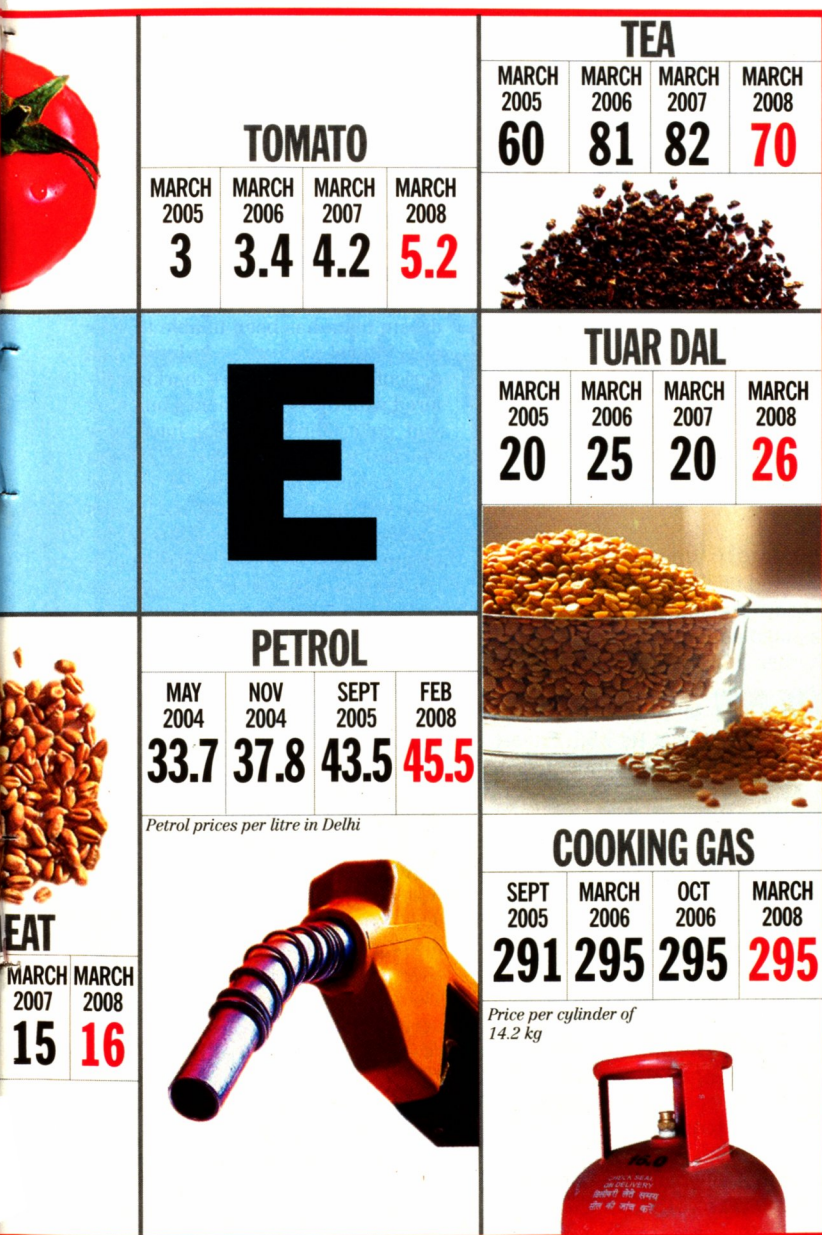




Figures in rupees are wholesale prices per kg. *Cement price per 50 kg bag

combined with stagnant foodgrain production have put India on the crosshairs of a food crisis that's unlikely to abate anytime soon. Explains Si Kannan, associate vice-president of Kotak Commodities: "What is happening to prices of agricultural commodities is a result of supply side constraints, which have not been addressed even as consumption is soaring."

True to form, the Government re-

acted to the crisis only after it hit the headlines. The Cabinet Committee on Prices stayed huddled in a meeting at 7 Race Course Road (prime minister's residence) till late on March 31 as it worked out a strategy to tackle the ticklish issue. The meeting began with Railway Minister Lalu Prasad Yadav and Commerce and Industries Minister Kamal Nath quizzing Agriculture Minister Sharad Pawar about the delay

in wheat import. According to sources, Pawar, already irritated at charges that he was more bothered about running BCCI than the crucial ministry, is said to have snapped that the delay in importing wheat was a political decision since the wheat procurement season had only begun. Congress managers now know that they have given the Opposition an election issue, despite its showpiece troika of Prime Minister Manmohan Singh, Chidambaram and Planning Commission Deputy Chairman Montek Singh Ahluwalia.

A gloating BJP has already stepped up its attack on the Government, adding food "insecurity" to its earlier ammo of national security. As for the Left parties, which were seemingly silenced by the loan waiver scheme, they have centred their attacks on the Government on the issue of inflation, over which they plan to take to the streets from April 15. The Left is also using the opportunity to line up as many supporters for the cause of what it believes will be a non-Congress, non-BJP alternative that, if not eligible to rule, will have the parliamentary numbers to ensure that whoever rules will do the bidding.

But in a bid to fight the fire, and immediately bring down prices, the Government banned export of non-basmati rice, slashed the duties on edible oils and maize and extended the ban on pulses. Oblivious to how the export markets work, where orders are placed well in advance and exporters are expected to adhere to their commitments, the Government couldn't make up its mind whether or not to allow exports of non-basmati rice. On October 9, 2007, the Government had banned the export of non-basmati rice. However, the ban was partially lifted on 28th of the same month with a minimum export price of \$425 per tonne, which was subsequently revised to \$650 on March 5 and \$1,000 on March 25 this year.

Exporters and farmers are by now aware of the Government's brand of fire-fighting, where farmers pay the heaviest price, irrespective of whether the global prices of agricultural commodities are up or down. When there is a glut, the Government prefers to call India a free economy and refuses to